

Churn Definition by Business

1. **Churn analysis** means finding out why customers stop using your product or service.
2. To understand churn, we look at three simple things:
 - ✓ **Who** — which customers have left or might leave soon.
 - ✓ **Why** — what they did or experienced before leaving.
 - ✓ **When** — the time or situation when they decided to stop.

Different businesses define churn in different ways:

- ✓ **SaaS:** When a customer cancels their subscription.
- ✓ **E-commerce:** When a customer doesn't buy anything for 90 days.
- ✓ **Adtech:** When a user doesn't use the app or service for 90–120 days.
- ✓ **Streaming:** When a membership becomes inactive.
- ✓ **Telecom:** When a customer's account is closed or terminated.
- ✓ **Banking:** When a customer doesn't make any transactions for several months.

3. Why Churn Happens

Common reasons include:

- ✓ **Poor experience** — slow service, bad support, or confusing product.
- ✓ **Pricing issues** — customers find cheaper alternatives.
- ✓ **Competition** — better offers or features elsewhere.
- ✓ **Lack of engagement** — customers forget or lose interest.
- ✓ **Technical problems** — bugs or downtime that frustrate users.

4. Typical Insights You'll Find

- ✓ Which plan or region has the highest churn.
- ✓ How customer complaints relate to churn.
- ✓ Which customers are most at risk (based on churn score).
- ✓ How churn affects monthly revenue.

5. Business Impact of Churn

- ✓ **Revenue loss:** fewer paying customers.
- ✓ **Higher costs:** acquiring new customers is more expensive than keeping existing ones.
- ✓ **Brand damage:** unhappy customers may spread negative word of mouth.

- ✓ **Growth slowdown:** churn reduces long-term customer lifetime value (CLTV).

6. Business Actions After Analysis

Once insights are ready, businesses can:

- ✓ Improve customer support and response time.
- ✓ Offer discounts or loyalty programs to high-risk customers.
- ✓ Adjust pricing or plan features.
- ✓ Send personalized messages to re-engage inactive users.